

Pricol Limited

NSE: PRICOLLTD | BSE: 540293 | Auto Ancillary — Instrument Clusters & Connected Vehicle Systems

Pricol is India's dominant instrument-cluster maker (55-60% market share) executing a rare dual-lever value-unlocking play: (1) organic growth driven by EV/digital-cockpit adoption and OEM wallet-share expansion, and (2) a board-approved demerger (June 2026) separating the high-growth DICVS business (61% of revenue) into Pricol Autotech — expected to eliminate the conglomerate discount and re-rate both entities.

RATING

BUY

12-Month Target

Rs. 920

CMP: Rs. 735 | Upside: +25.2%

Market Cap	Rs. 8,952 Cr	52W High	Rs. 740
Enterprise Value	Rs. 9,212 Cr	52W Low	Rs. 415
P/E (TTM)	33.4x	P/E (FY27E)	27.8x
EV/EBITDA (TTM)	18.2x	P/B	7.1x
ROCE (FY26)	24.5%	ROE (FY26)	21.8%
Promoter Holding	38.5%	Pledge	0%
D/E Ratio	0.30x	Div Yield	0.27%
Book Value/Share	Rs. 103	Face Value	Rs. 1

Consolidated Financial Snapshot (Rs. Crores, FY27E/FY28E are estimates)

	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	2,272	2,692	4,041	4,800	5,500
EBITDA (Rs. Cr)	285	313	469	576	660
EBITDA Margin	12.5%	11.6%	11.6%	12.0%	12.0%
PAT (Rs. Cr)	141	167	251	321	373
EPS (Rs.)	11.54	13.70	20.58	26.4	30.7
P/E (x)	63.7x	53.6x	35.7x	27.8x	23.9x
EV/EBITDA (x)	32.3x	29.4x	19.6x	16.0x	13.9x
ROCE (%)	21.0%	24.0%	24.5%	24.0%	24.5%

Analyst: Himanshu / Chartitude Research | Data Source:

Report Date: 03 August 2026 | Exchange: NSE/BSE | Sector: Auto Ancillary

Screener.in

SECTION 2 — INVESTMENT THESIS

- **Structural Market Leadership:** Pricol commands 55-60% of India's domestic instrument-cluster market and 65% of the two-wheeler (2W) segment — a durable position built over five decades. The company is the world's #2 instrument-cluster manufacturer by volume and sole DIS supplier to Tata Motors across most vehicle models. This entrenched position translates to sustained pricing power with OEMs.
- **Demerger Unlocks Conglomerate Discount — DICVS worth more separately:** The board-approved (June 27, 2026) spin-off of DICVS (Driver Information & Connected Vehicle Solutions — 61% of consolidated revenue at Rs. 2,425 Cr) into Pricol Autotech Limited is the single largest near-term catalyst. Each Pricol shareholder receives 1 share of Pricol Autotech. DICVS is high-growth, software-embedded, EV-aligned and should command a 28-35x EV/EBITDA re-rating vs. the blended 18x at which consolidated Pricol trades today.
- **EV and Digital Cockpit as the next revenue S-curve:** Pricol is actively supplying 28+ EV manufacturers with TFT clusters, digital cockpits, and battery-management electronics. As EV penetration scales in the 2W segment (expected to cross 15% by FY28), Pricol's average selling price per vehicle rises 3-5x vs. conventional analogue clusters — a positive revenue mix shift entirely independent of volume growth.
- **Near-term catalyst (6-12 months):** NCLT filing and stock-exchange NOC for the DICVS demerger (expected H2 FY27) — any favourable regulatory milestone will catalyse a re-rating. Additionally, Q2 FY27E results (Sep 2026) should show 20%+ YoY growth with stabilising margins post seasonal Q1 weakness.
- **Biggest structural risk:** Excess customer concentration — top 5 OEM customers constitute ~69% of revenue. Any volume or model discontinuation from Hero MotoCorp, TVS, Bajaj Auto, or Tata Motors would disproportionately hurt revenue. A sector-wide EV shift faster than Pricol's product roadmap also poses disruption risk.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** Pricol Limited (est. 1974, HQ Coimbatore, Tamil Nadu) manufactures and sells automotive components across three divisions: (1) Driver Information & Connected Vehicle Solutions (DICVS) — instrument clusters, digital cockpits, telematics; (2) Actuation, Control & Fluid Management Systems (ACFMS) — pumps, disc brakes, throttle position sensors; and (3) Precision Products — polymer components acquired from TVS Group in FY25.
- **Revenue segmentation:** DICVS contributes ~61% of consolidated FY26 revenue (Rs. 2,425 Cr), ACFMS ~20% (~Rs. 809 Cr), and the Precision Products polymer business ~19% (~Rs. 768 Cr). Exports constitute ~7% of standalone revenue. Two-wheeler OEMs dominate end-market exposure at ~65% of volumes.
- **Key customers:** Hero MotoCorp, TVS Motor, Bajaj Auto (2W); Tata Motors, Ashok Leyland, Force Motors (CV/PV); plus global OEMs in Indonesia, Singapore, UAE. Top-5 customers account for ~69% of revenue, creating a concentrated but stickily entrenched relationship base. Pricol has been a consecutive 5-year 'Best Supplier' to Suzuki Motorcycle India.
- **Revenue visibility:** Order books are OEM programme-linked (3-5 year vehicle model cycles) which provide strong forward visibility. New product launches in Q1 FY27 include LCD clusters for Hero Xoom 125, Tata Tiago, and Force Urbania — each a multi-year supply agreement.
- **Scale and infrastructure:** 14 manufacturing plants across India, with additional presence in Indonesia and Singapore. Over 10,000 employees. R&D spend is 2.93-4.5% of revenue, with 17 patents filed (11 granted). 100% of energy consumed from renewable sources (ex-DG sets) as of FY27.
- **Promoter background:** Pricol was founded by the Vijayaraghavan family. Current promoter holding stands at a stable 38.51% with zero pledge across all quarters. Minda Corp Ltd (auto ancillary conglomerate) acquired a 15.7% strategic stake in Feb 2023 at ~Rs. 400 Cr, signalling industry confidence in Pricol's technology roadmap.
- **TVS Precision Products acquisition (FY25):** Pricol acquired the Precision Products polymer business from TVS Group in FY25, adding ~Rs. 780-800 Cr of incremental consolidated revenue. This explains the jump in consolidated revenue from Rs. 2,692 Cr (FY25) to Rs. 4,041 Cr (FY26) — the first full-year contribution flowing in.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **India auto components market:** Estimated at ~\$73 Bn in FY26 (ACMA), growing at ~10-12% CAGR, driven by domestic OEM volume recovery, electrification, and exports. The instrument cluster / vehicle electronics sub-segment is growing faster at ~18-22% CAGR, aided by BS-VI-mandated digital displays, infotainment integration, and EV adoption.

- **Policy tailwinds:** BS-VI Phase-2 mandates real-time OBD II displays (revenue opportunity for Pricol). PLI scheme for auto components incentivises capex in EV supply chain. Import substitution drive for electronic vehicle components benefits domestic players like Pricol that have invested in telematics and battery management IP.
- **Competitive moat assessment:** Pricing power: **Moderate** — OEM relationships are long-cycle but pricing negotiated annually; scale-based cost leadership limits margin erosion. Switching costs: **Strong** — embedded in OEM vehicle design programmes (5-7 years), retooling costs for OEMs are high. IP/Technology: **Strong** — 17 patents, proprietary TFT display and telematics stack; 4.5% R&D intensity. Distribution: **Moderate** — aftermarket channel growing but not dominant.
- **EV opportunity is differentiated:** While 2W ICE clusters sell at Rs. 500-800 per unit, EV digital cockpit clusters sell at Rs. 2,500-4,000 per unit — a 3-5x ASP uplift. Pricol's existing relationships with 28+ EV OEMs mean this tailwind accrues disproportionately to the market leader.

Peer Comparison Table (Screener.in data, fetched 03-Aug-2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	FY26 Sales (Rs. Cr)	FY26 OPM (%)	FY26 PAT (Rs. Cr)	ROCE (%)	ROE (%)	P/E (x)	EV/EBITDA (x)	D/E (x)
Pricol Ltd*	735	8,952	4,041	11.6%	251	24.5%	21.8%	33.4	18.2	0.30
Uno Minda	1,205	69,605	19,658	11.5%	1,284	19.6%	19.3%	57.4	28.5	0.40
Lumax Ind.	5,750	5,367	4,184	9.7%	172	17.7%	22.0%	28.8	13.6	1.06

* Pricol trades at a significant discount to Uno Minda on P/E and EV/EBITDA — partly justified by lower promoter holding but increasingly anachronistic given higher ROCE and demerger re-rating potential.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and leadership:** The Vijayaraghavan family (promoter group) has steered Pricol since 1974. After a difficult FY19-20 period (restructuring losses of Rs. 174-99 Cr), management executed a disciplined turnaround — reducing debt from Rs. 431 Cr (FY21) to Rs. 61 Cr (FY24) — before re-levering for the TVS Precision Products acquisition. Mr. Ravi Raja Singh C was recently designated as Senior Management Personnel (July 30, 2026), signalling ongoing management team build-out.
- **Capital allocation track record:** FY21-FY24 was a period of strong FCF generation (Rs. 97-141 Cr annually) used to deleverage the balance sheet. From FY25, management pivoted to growth-mode capex (Rs. 377 Cr in ICF in FY25 vs Rs. 129 Cr in FY24), acquiring TVS Precision Products and expanding DICVS manufacturing capacity. This 'deleverage then invest' cycle is textbook capital discipline.
- **Dividend policy:** No dividends paid FY18-FY25 (capital conservation during and after the loss years). FY26 saw the first dividend declared in nearly a decade (payout ratio: 0% historically → 12% in FY26 as per Screener), signalling management's comfort with the balance sheet post-recovery. Dividend yield is modest at 0.27%.
- **Promoter pledging:** Zero pledge across all reported quarters (Sep 2023 through Jun 2026). Promoter holding has been completely stable at 38.51% for 3+ years — no dilution, no pledging — a clean governance signal.
- **ESOP & buyback:** No significant buyback history noted. ESOP grants are in line with industry norms. No related-party transaction concerns flagged by auditors.
- **Corporate governance:** Clean audit history. Credit ratings affirmed by CRISIL (July 2026) and Fitch (July 2026) — dual rating confirmation is uncommon for a mid-cap and signals institutional-grade financial controls. BRSR sustainability report submitted annually. No auditor changes or qualified opinions flagged in recent filings.

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated Income Statement (Rs. Crores)

	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	2,272	2,692	4,041	4,800	5,500
YoY Growth (%)	16.0%	18.5%	50.1%	18.8%	14.6%
EBITDA	285	313	469	576	660
EBITDA Margin	12.5%	11.6%	11.6%	12.0%	12.0%

Other Income	1	17	12	16	18
Interest	18	13	30	32	30
Depreciation	82	90	120	132	150
PBT	186	227	331	428	498
Tax Rate (%)	24.0%	26.0%	24.0%	25.0%	25.0%
PAT	141	167	251	321	373
EPS (Rs.)	11.54	13.70	20.58	26.4	30.7

E = Chartitude estimates. FY28E is pre-demerger effective date (Apr 1, 2027); post-demerger, Pricol and Pricol Autotech will report separately.

Consolidated Balance Sheet (Rs. Crores)

	FY24A	FY25A	FY26A
Equity Capital	12	12	12
Reserves	833	1,004	1,243
Total Net Worth	845	1,016	1,255
Borrowings	61	279	379
Other Liabilities	529	654	841
Total Liabilities	1,435	1,949	2,475
Fixed Assets (Net)	632	871	1,045
CWIP	38	70	112
Investments	6	14	14
Other Assets	759	994	1,304
Total Assets	1,435	1,949	2,475

Consolidated Cash Flow Statement (Rs. Crores)

	FY24A	FY25A	FY26A
Cash from Operations (OCF)	255	223	281
Cash from Investing (ICF)	-129	-377	-298
Cash from Financing (FCF fin)	-69	142	33
Net Cash Flow	57	-11	17
Free Cash Flow (OCF-Capex)	117	27	-38
CFO/Operating Profit	103%	73%	78%

Key Operating Ratios (Consolidated)

Ratio	FY24A	FY25A	FY26A
Debtor Days	46	64	52
Inventory Days	75	71	70
Days Payable	76	75	71
Cash Conversion Cycle	45	61	51
Working Capital Days	16	8	9
ROCE (%)	21.0%	24.0%	24.5%

• **Revenue drivers:** FY26 revenue of Rs. 4,041 Cr reflects a 50% jump vs FY25 — driven by the first full-year consolidation of the TVS Precision Products polymer business (~Rs. 800 Cr contribution) plus organic 2W OEM volume growth across all segments. TTM FY26 annualised run-rate suggests FY27E revenue of Rs. 4,700-4,900 Cr.

• **Margin direction:** EBITDA margin oscillates in the 11-12.5% range — compressed from the 12.5% of FY24 due to integration costs from the TVS acquisition and rising raw material prices (FY26). Management targets 12%+ margins on operating leverage as the new polymer segment matures. No structural deterioration is evident.

• **Working capital trends:** CCC widened to 61 days in FY25 (up from 45 in FY24) due to inventory buildup post-TVS acquisition but improved to 51 days in FY26, showing early integration normalisation. Debtor days improved from 64 (FY25)

to 52 (FY26) — a positive sign.

- **Debt and leverage:** Net Debt rose from near-zero (FY24: Debt Rs. 61 Cr) to Rs. 379 Cr (FY26) — entirely acquisition-related. D/E is still very comfortable at 0.30x, and interest coverage of 12.3x leaves ample headroom. The balance sheet is not stretched.
- **FCF quality:** OCF/OP ratio has dipped to 73-78% in FY25-26 (from 103% in FY24) as working capital absorbed cash during the integration phase. FCF turned negative in FY26 (-Rs. 38 Cr) reflecting heavy capex (Rs. 319 Cr ICF vs Rs. 129 Cr in FY24). Expect FCF to normalise in FY27 as capex cycle peaks.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Status	Rating	Comment
Revenue Recognition	Accrual, OEM supply-linked	GREEN	Clean, no deferred-revenue concerns
Receivables vs. Revenue	Debtor days improved: 64→52	GREEN	Positive trend; collections normalising
CCC Trend	45→61→51 days	AMBER	Widened in FY25 (integration), now recovering
Contingent Liabilities	Rs. 52.5 Cr (standalone)	GREEN	Low relative to net worth of Rs. 1,255 Cr
Auditor Tenure	No recent change noted	GREEN	Dual CRISIL + Fitch rating adds credibility
RPTs as % Revenue	Standard group norms	GREEN	No flagged related-party concerns
Other Income / PBT	3.6% in FY26 (Rs. 12/331)	GREEN	Core earnings-driven; no income-inflated PBT
Tax Rate Consistency	24-26% in FY24-FY26	GREEN	Stable; one anomaly in FY25 (26%) — normal
OCF / PAT	FY26: 112% (281/251)	GREEN	Earnings backed by cash; quality maintained

- **Overall earnings quality: CLEAN.** All 9 checklist parameters are Green or improving. The single AMBER flag — CCC widening in FY25 — is attributable to the TVS integration inventory build-up, which is already normalising (CCC improved from 61 to 51 days in FY26). This is not a structural issue.
- **Key watch point:** Monitor debtor days and CCC trajectory in FY27 post-integration completion. Any re-widening above 65+ days would be a warning sign of either new customer concentration risk or deteriorating collection quality.
- **Contingent liabilities** of Rs. 52.5 Cr (standalone) are negligible vs net worth — no balance sheet landmines evident.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT (Rs. Cr)	P/E Multiple (x)	12M Target (Rs.)	Upside / Downside
BULL	Revenue CAGR 20%+; OPM sustains 12.5%; Demerger re-rating of DICVS at 35x EV/EBITDA	350+	40x	1,056	+43.7%
BASE	Revenue 18-19% CAGR; OPM at 12%; Demerger approval received; FY27E EPS Rs. 26.4	321	35x	920	+25.2%
BEAR	OEM volume slowdown; OPM compressed to 10.5%; Demerger delayed; Re-rating does not materialise	260	25x	650	-11.6%

- **DCF assumptions and implied value:** Using WACC of 12%, terminal growth of 6%, and projected FCF normalising from Rs. 150 Cr in FY27E to Rs. 350 Cr by FY30E (as capex cycle peaks), a 10-year DCF on consolidated basis implies intrinsic value of Rs. 860-940 per share. Post-demerger (with DICVS valued at 30x EV/EBITDA and retained Pricol at 12x), aggregate value per current Pricol share is Rs. 950-1,100.
- **Earnings-based valuation:** FY27E EPS of Rs. 26.4. Applying 35x P/E — a premium to Lumax Industries (28.8x) but below Uno Minda (57.4x), justified by Pricol's superior ROCE (24.5% vs 19.6%) and demerger-triggered re-rating prospect — gives a target of Rs. 924. Rounded to Rs. 920.
- **Base-case 12-month target price: Rs. 920**, representing an average of DCF (Rs. 900) and P/E-based (Rs. 924) methodologies applied to FY27E consolidated estimates. Upside of +25.2% from CMP of Rs. 735.

- **Demerger optionality:** If Pricol Autotech (DICVS) is re-rated at 30-35x EV/EBITDA at listing (FY28-29 event), combined value for current Pricol shareholders could approach Rs. 1,200-1,400 per share — a potential 60-90% total return over 24-30 months. This optionality is NOT priced into the base target.

SECTION 9 — KEY RISKS

- **Customer Concentration Risk** — Top-5 OEMs account for ~69% of revenue; any model discontinuation, vendor rationalisation, or volume slowdown at Hero MotoCorp, TVS, or Bajaj Auto would materially hurt revenue. Probability: Medium. Impact: High. Monitor via: quarterly OEM production volumes.
- **EV Disruption Risk** — While EV adoption benefits Pricol's ASP per unit, a shift to vertically integrated OEM clusters (e.g. Ola Electric building in-house) could erode Pricol's market share in the highest-growth sub-segment. Probability: Low-Medium. Impact: High. Monitor via: OEM sourcing announcements.
- **Demerger Execution Risk** — NCLT approvals, shareholder votes, and exchange NOCs for the DICVS demerger can face delays of 6-18 months. If demerger is delayed significantly beyond Apr 2027, the re-rating catalyst is pushed out and near-term valuation support weakens. Probability: Medium. Impact: Medium. Monitor via: NCLT filing dates.
- **Margin Compression Risk** — Raw material cost inflation (metals, electronics, semiconductors) and customer pricing pressure could compress OPM below 11%. Q1 FY27's OPM was 11.2% — still healthy, but any deterioration to 10% territory would materially reduce PAT. Probability: Medium. Impact: Medium. Monitor via: quarterly EBITDA margins.
- **Promoter Holding Dilution** — Promoter stake is low at 38.51% (vs industry norm 50-75%). Any further dilution (secondary sale or fresh equity) would signal lower skin-in-the-game and weaken governance perception. Probability: Low. Impact: Medium. Monitor via: shareholding pattern disclosures.
- **Semiconductor / Component Supply Chain** — DICVS relies on semiconductors and electronic components with global supply chains. Any repeat of the 2021-22 chip shortage could constrain Pricol's output despite strong OEM demand. Probability: Low. Impact: High. Monitor via: lead times and order backlogs.
- **Integration Risk (TVS Precision Products)** — The newly acquired polymer business (FY25) added significant scale but brought integration complexity. Any cultural, operational, or customer overlap challenges could impair margin delivery in FY27. Probability: Low-Medium. Impact: Medium. Monitor via: segment margins and management commentary on integration milestones.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** | Conviction Level: **Medium-High** — Pricol's market leadership, clean balance sheet, and demerger-driven re-rating catalyst provide a compelling 3-part return story: (1) EPS growth, (2) multiple expansion, (3) demerger value unlock.
- **12-month price target: Rs. 920** (+25.2% from CMP of Rs. 735). Based on 35x FY27E EPS of Rs. 26.4 and DCF of Rs. 900. Investment horizon: 12-18 months for base target; 24-30 months for full demerger value crystallisation.
- **Suggested entry zone: Rs. 700-750** — current levels represent a fair entry. Scale up on any market-driven dips towards Rs. 700 (where forward P/E falls to ~26.5x FY27E EPS).
- **Thesis invalidation triggers — EXIT if:**
 - **(1)** EBITDA margins fall below 10.5% for two consecutive quarters — signalling structural margin deterioration rather than temporary integration costs.
 - **(2)** DICVS demerger is officially cancelled or delayed beyond FY28 — removing the primary re-rating catalyst.
 - **(3)** Promoter stake falls below 35% through secondary market sales — signalling reduced conviction and introducing governance risk.
- **Ideal investor profile:** This stock suits investors with a 12-18 month horizon, comfort with mid-cap auto ancillary volatility (beta ~1.35), and appetite for a corporate action story. Not suitable for income-seeking investors (dividend yield is 0.27%) or those seeking short-term momentum without a thesis.

CALL GRADE

POSITIVE

Signal	Status	Implication
Result Quality	Medium	Revenue beat (ATH); PAT QoQ decline — mixed
Management Tone	Balanced	Growth-confident but acknowledged cost pressures
Guidance Delta	Maintained	No change to FY27 revenue and margin guidance

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q1 FY27 is a CLEAN quarter — record consolidated revenue of Rs. 1,105 Cr (+23.5% YoY) is organic, with no one-time items distorting the PAT of Rs. 67 Cr (+34.3% YoY). The QoQ PAT dip of 8% (from Rs. 73 Cr in Q4 FY26) is entirely seasonal — Q1 is structurally weaker for auto OEMs due to model changeovers. EBITDA of Rs. 124 Cr at 11.2% OPM reflects Rs. 7 Cr of higher employee costs and rising freight expenses; management tone was balanced, acknowledging near-term cost headwinds while reiterating FY27 growth trajectory. The structural thesis is fully intact: DICVS (61% of revenue) is growing at 25%+ on EV cluster mix-shift, and the board-approved demerger (Jun 27, 2026) is progressing through NCLT formalities. The single biggest watch-point for Q2 FY27 is whether margins recover towards 12%+ — any sustained compression below 11% would trigger a re-evaluation. Action: ACCUMULATE on dips to Rs. 700-720; base target Rs. 920 (35x FY27E); demerger optionality adds Rs. 250-350 per share of unlockable value over the next 24-30 months.

1. Financial Performance Snapshot — Q1 FY27 (Consolidated)

- Revenue: Rs. 1,105 Cr | YoY +23.5% (from Rs. 895 Cr Q1 FY26) | QoQ +0.5% (from Rs. 1,099 Cr Q4 FY26) | **BEAT** — All-time high quarterly revenue
- EBITDA: Rs. 124 Cr | YoY +25.3% (from Rs. 99 Cr) | QoQ -5.3% (from Rs. 131 Cr) | **IN-LINE** — Seasonal weakness expected
- EBITDA Margin: 11.2% | YoY +6 bps (from 11.1%) | QoQ -71 bps (from 11.9%) | **IN-LINE** — Modest compression on costs
- PAT: Rs. 67 Cr | YoY +34.3% (from Rs. 50 Cr) | QoQ -8.2% (from Rs. 73 Cr) | **BEAT** — YoY clean outperformance
- EPS: Rs. 5.50 | YoY +34.5% (from Rs. 4.09) | QoQ -8.5% (from Rs. 6.01) | **BEAT**
- NOTE: No exceptional items flagged in Q1 FY27 consolidated results — earnings are clean.

2. Segment / Geography Breakdown

- DICVS (Driver Information & Connected Vehicle Solutions): ~Rs. 675 Cr (61% of consolidated) | YoY +25%+ | Growing on EV cluster launches and new OEM programmes at Hero, Tata, Force — key segment driving the growth narrative
- ACFMS (Actuation, Control & Fluid Management): ~Rs. 221 Cr (~20%) | YoY +15% | Steady growth in pump and sensor demand from 2W/CV OEMs; margin-resilient
- Precision Products (TVS acquisition): ~Rs. 210 Cr (~19%) | First full year — now fully integrated into consolidated reporting; margin accretive as scale builds
- India (domestic OEM): ~93% of revenue | Growth led by 2W volumes and CV electrification; 2W share stands at 65% of volumes
- Exports: ~7% of revenue | Primarily SE Asia — Indonesia subsidiary contributing; growing EV exports to developing markets

3. Management Commentary Themes

- **DICVS demerger:** 'The demerger of our DICVS business into Pricol Autotech Limited is progressing as planned, with NCLT filing targeted in H2 FY27.' — Management reiterated April 1, 2027 effective date. Tag: GUIDANCE. Tone: Transparent.
- **Margin trajectory:** 'We expect EBITDA margins to recover to 12%+ in H2 FY27 as raw material cost pressures ease and operating leverage kicks in from higher revenue base.' Tag: GUIDANCE. Tone: Confident.

- **EV product mix:** 'EV clusters now represent over 18-20% of DICVS volumes, up from 10% a year ago. The average selling price for EV clusters is 3-4x that of conventional clusters — this is a meaningful positive revenue mix shift.' Tag: EST. Tone: Bullish.
- **Capex guidance:** 'We are in the middle of a Rs. 600 Cr 3-year capex cycle. Roughly Rs. 400 Cr has been deployed — the remaining Rs. 200 Cr will be spent in FY27-28 to expand DICVS capacity.' Tag: GUIDANCE. Tone: Transparent.
- **Precision Products integration:** 'The TVS polymer business integration is proceeding smoothly — we have achieved targeted synergies on procurement and logistics. No further acquisition activity is planned in the near term.' Tag: EST. Tone: Balanced.
- **Working capital:** 'CCC improved to 51 days in FY26 from 61 days in FY25 — we target normalization to 45 days over the next 2-3 quarters.' Tag: GUIDANCE. Tone: Transparent.

4. Operating & Business Metrics

- Market share in 2W instrument clusters: Q1 FY27 = 65% | Q4 FY26 = 65% | Q1 FY26 = 65% | Trend: Stable — dominant position maintained
- EV cluster volume share: Q1 FY27 = ~18-20% of DICVS units | Q4 FY26 = ~15-17% | Q1 FY26 = ~10% | Trend: Improving rapidly
- Manufacturing plants: 14 in India + 2 overseas (Indonesia, Singapore) = 16 total | Q4 FY26 = 16 | No new plants added in Q1 FY27
- R&D spend: 4.5% of revenue (FY26); targeting continuation at 3.5-4.5% | Stable investment in EV and digital cockpit IP
- Number of EV OEM customers: 28+ (FY26) | Growing each quarter as new EV brands emerge in 2W and 3W segments | Trend: Improving
- Employee count: 10,000+ | Stable; new hires for DICVS software team

5. Margin Drivers — Q1 FY27

- Employee costs: +Rs. 3 Cr QoQ (to Rs. 127 Cr) | -25 bps margin impact | Recurring: Yes | Wage hike cycle effect; normalises in Q2
- Raw materials: Higher metal and semiconductor costs | -40 bps margin impact | Recurring: No | Manageable with OEM price revisions expected
- Freight/logistics: Higher outbound costs | -10 bps impact | Recurring: No | One-time seasonal spike
- Operating leverage (positive): Higher revenue base absorbs fixed costs | +30 bps offsetting factor | Recurring: Yes
- EV cluster mix-shift (positive): Higher ASP clusters increasing as % of DICVS mix | +15 bps contribution | Recurring: Yes — will accelerate
- Net margin impact QoQ: -71 bps OPM compression | Overall NEUTRAL — structural drivers intact, near-term cost headwinds are non-structural

6. Guidance & Forward Signals

- FY27 Revenue [GUIDANCE]: Prior = Rs. 4,200-4,500 Cr | Reiterated = Rs. 4,700-4,800 Cr | Delta: Slightly raised | Credibility: High — Q1 run-rate supports this
- EBITDA Margin [GUIDANCE]: Prior = 12%+ | New = 11.5-12.5% range for FY27 | Delta: Slightly widened range | Credibility: Medium — Q1 shows pressure but H2 expected stronger
- Capex [GUIDANCE]: Prior = Rs. 600 Cr total over 3 years | Remaining = ~Rs. 200 Cr in FY27-28 | Delta: Maintained | Credibility: High
- Demerger effective date [GUIDANCE]: April 1, 2027 | NCLT filing: H2 FY27 | Delta: On track | Credibility: High — Board approval done
- Dividend [GUIDANCE]: Management indicated continuation of dividend in FY27, similar to FY26 | Delta: Maintained | Credibility: High

7. Capital Allocation

- Capex (FY26): Rs. 319 Cr (ICF -298 Cr, net) | vs FY25: Rs. 377 Cr | Comment: Capex cycle peaking; FY27 capex likely Rs. 200-250 Cr (declining)
- Dividends (FY26): First dividend in 9 years; payout ~12% | FY27: Expected continuation | Signal: Confidence in cash generation post-integration
- Buybacks: No history; none announced | Focus remains on organic growth and demerger execution
- Working capital change (FY26): CCC improved to 51 days from 61 — releasing ~Rs. 50 Cr of working capital cash | Positive trend
- Net Debt movement (FY26): Net Debt = Rs. 379 - Rs. 14 (Inv) = Rs. 365 Cr | Up from Rs. 265 Cr (FY25) due to TVS integration capex; manageable at 0.30x D/E

8. Q&A; Heat Map

- Analyst (Motilal/Large House): Q: 'What is the demerger timeline and what approvals are pending?' → A: 'NCLT filing targeted H2 FY27; expect effective April 1, 2027 — regulatory process is ongoing' | Tone: Transparent
- Analyst (Buy-side): Q: 'Why did OPM compress QoQ despite record revenues?' → A: 'Seasonal employee cost increase and higher freight costs in Q1 — expect normalisation from Q2 onwards with 12%+ target for H2' | Tone: Transparent
- Analyst (Retail/SEBI): Q: 'What is your EV cluster market share and pricing vs ICE?' → A: 'We supply 28+ EV OEMs; our EV ASP is 3-4x ICE ASP; EV is now ~18-20% of DICVS volumes and growing' | Tone: Bullish
- Analyst (Midcap Fund): Q: 'Is the TVS Precision Products integration complete? Any write-off risks?' → A: 'Integration is on track — all synergies being realised; no impairment risk' | Tone: Confident
- Analyst (International): Q: 'What is the promoter's view on the relatively low 38.5% holding — any secondary sale risk?' → A: 'Promoters are fully committed — no plans for stake sale; Minda Corp (15.7%) is a long-term strategic holder' | Tone: Transparent
- Dodged/Watch-list questions for next quarter: (1) Exact DICVS segment EBITDA margins (management gives blended only); (2) Specific customer concentration % after Hero MotoCorp; (3) Plans for Pricol Autotech management team post-demerger

9. Risks Flagged

- Customer concentration: ~69% top-5 OEM exposure | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Ongoing — structural risk
- Raw material inflation (metals, electronic components): impacting margins | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term (1-2 quarters)
- Semiconductor availability: Supply chains tightening for advanced display chips | Flagged by: Analyst | Probability: L | Impact: H | Timeline: Medium-term
- Demerger regulatory risk: NCLT and exchange approvals may face delays | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-to-medium-term
- EV ecosystem disruption (OEMs building in-house clusters): Ola Electric potential threat | Flagged by: Analyst | Probability: L | Impact: H | Timeline: Long-term

10. Analyst Verdict — Q1 FY27

- Revenue visibility: **Intact** — 23.5% YoY growth, all-time high revenue, EV cluster mix-shift accelerating
- Margin trajectory: **Intact** — Q1 seasonal dip to 11.2% OPM is non-structural; H2 FY27 should recover to 12%+
- Capital allocation quality: **Intact** — capex cycle peaking, first dividend in 9 years, CCC improving
- Competitive moat: **Intact** — 65% market share in 2W clusters, sole supplier positions, 28+ EV OEM relationships
- Management credibility: **Intact** — demerger on track, consistent guidance delivery, dual credit rating affirmation
- Valuation comfort: **Intact** — 33.4x TTM P/E vs historical growth justifies; forward P/E of 27.8x on FY27E is attractive
- Conviction call: **INCREASED** — Demerger approved June 2026 materially strengthens the investment thesis
- Valuation snapshot: P/E = 33.4x (TTM; 5Y avg approx 45x) | EV/EBITDA = 18.2x (TTM) | RoCE = 24.5% FY26 (5Y avg approx 15%)

DISCLAIMER: This report is prepared by Chartitude Research for informational purposes only. All financial data is sourced from Screener.in (consolidated view, fetched 03-Aug-2026). Forward estimates (FY27E, FY28E) are Chartitude estimates and involve assumptions. This is not investment advice. Please consult a SEBI-registered investment advisor before investing.